PIRANHA PROFITS

LESSON 13

Mental Modals of Professional Traders

BY: ALSON CHEW

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TRADE PSYCHOLOGY

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One of the key elements in trading is mastering one **emotions** and create a **systematic way** to manage it.

- ✔ Self discipline to stick to risk management rules and money management plan (trading plan)

- ✔ Cut **mercilessly** when a trade is invalidated. Market is open every trading day.

- ✔ Avoid over trading. Trigger happy syndrome.

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One of the key elements in trading is mastering one **emotions** and create a **systematic way** to manage it.

- ✔ Low price usually can be lower and vice versa

- ✔ Low price doesn't mean good price/undervalued and vice versa

- ✔ Realize your own weakness and use a systematic way to control/manage it

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TRADE PSYCHOLOGY

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One of the key elements in trading is mastering one **emotions** and create a **systematic way** to manage it.

- ✔ Be patient because we cannot rush time after we got a good entry price
- ✔ Trading is is about capitalizing on a certain price direction with size. No need to be fully right.
- ✔ Go big at point of maximum reward with minimal risk (Almost arbitrage situation)

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TRADE PSYCHOLOGY

"Losing money is the least of my troubles. A loss never troubles me after I take it. I forget it overnight. But being wrong – not taking the loss – that is what does the damage to the pocket book and to the soul."

– *Jesse Livermore in Reminiscences of a Stock Operator*

"Successful trading is always an emotional battle for the speculator, not an intelligent battle. He knew that his biggest enemy was his own emotions."

– *Jesse Livermore in Reminiscences of a Stock Operator*



"Losers average losers"

– *Hedge Fund Manager Paul Tudor Jones*

"Sometimes it's difficult to interpret the markets, so we're not going to play a winning hand every day. Our goal is not to outperform all the time – that's not possible. We want to outperform over time"

– *Hedge Fund Manager John Paulson*

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TRADE PSYCHOLOGY

"A peak performance trader is totally committed to being the best and doing whatever it takes to be the best. He feels totally responsible for whatever happens and thus can learn from mistakes. These people typically have a working business plan for trading because they treat trading as a business."

– *Dr. Van. K. Tharp*

All the best!

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